

1.4 Making the business effective

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Past-paper question bank for this topic

- **Total questions:** 38
- **Total marks:** 175
- **Sub-topics covered:** 4

By series:

- **Specimen SAMs:** 7 questions
- **June 2019:** 5 questions
- **Nov 2020:** 4 questions
- **Nov 2021:** 4 questions
- **June 2022:** 5 questions
- **June 2023:** 6 questions
- **June 2024:** 7 questions

1.4.1 The options for start-up and small businesses (12 questions)

Specimen SAMs · Paper 1 · Q1(d) · §A

Explain

3 marks

Explain one disadvantage to a sole trader of having unlimited liability.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Unlimited liability will increase the personal financial risks (1) for a sole trader. This is because they become responsible for all losses made by the business (1), which could result in them having to sell personal assets to pay any losses (1). The sole trader could lose personal possessions (1). As there is no distinction between the business and the individual (1), losses made by the business have to be paid by the individual (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Sally is considering whether or not to buy a franchise to start up on her own.

Justify whether or not Sally should buy a franchise.

▼ **Mark scheme**

Indicative content: Sally has saved enough money to start her business and can therefore afford the costs associated with a franchise (AO2). Starting up on her own without buying a franchise will give Sally more freedom. She has her own ideas for differentiating her service, for example by the use of social media, and a franchise may not allow her to pursue some or all of them (AO2). Becoming a franchisee means she could benefit from the established name that comes with taking out a franchise and will not have to spend time and money establishing her own name. There are established competitors in the market and a franchise name may help (AO3a). If the franchise does not allow Sally to implement some of her ideas to target a younger target market, her service may not be differentiated from rival personal trainers, such as 'Vitality' (AO3a). Establishing a new business, especially in a market where competition exists, requires strong brand recognition. Sally is likely to get this from a franchise in a way that she is unlikely to gain by herself. Despite the costs involved, this appears to be the most suitable option for Sally at this time, especially given the worsening economic climate, which will only add to the uncertainty in this market (AO3b). Starting up on her own without buying a franchise appears to be the best option for Sally. Although the franchise option would provide reassurance of an established name, the market she is entering does not have much competition (just two rivals). Her ideas for differentiating her business will undoubtedly help her to stand out in a fairly small but growing market. Freedom is more important than brand name at this stage (AO3b). Level 1 (1-3), Level 2 (4-6), Level 3 (7-9) descriptors apply.

Explain one benefit to an entrepreneur of buying a franchise to start a business.

▼ **Mark scheme**

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. An entrepreneur could receive support and training (1). This means they are less likely to make poor business decisions (1), which reduces the chance of business failure (1). The entrepreneur could benefit from national advertising campaigns (1) because they have access to a larger advertising budget (1). This means the business will have increased brand awareness (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Refers to Last Course Patisserie case study (private limited company in Devon producing hand-made desserts).

Analyse the impact on Last Course Patisserie of operating as a private limited company.

▼ **Mark scheme**

Indicative content: It can make it easier to raise finance for the business expansion as it can sell shares (AO2). Shareholders may not agree about the most suitable location for the possible new premises (AO2). The business will require increased funds to increase the production of the desserts on the new menu. This will include the purchase of new machinery (AO3a). It may be felt that it would be better to move the premises closer to the market whilst others would argue it is better to stay closer to the excellent suppliers (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Explain one disadvantage of starting a small business as a partnership.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There may be disagreements between the partners (1). This means it will be difficult to make business decisions (1). This will lead to the business not being able to meet the needs of its customers (1). A deed of partnership may have to be produced (1). This increases the administration/legal requirements of the business (1). This will therefore increase the start-up costs of the business (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Which one of the following is a characteristic of a sole trader?

- A. They require a business qualification
- B. They have unlimited liability
- C. They can sell shares to raise finance
- D. They do not employ staff

▼ Mark scheme

The only correct answer is B - They have unlimited liability. A is not correct because a sole trader does not need to have a business qualification. C is not correct because a sole trader cannot sell shares to raise finance. D is not correct because some sole traders will employ staff.

Which one of the following is a disadvantage of starting a partnership?

- A. Business owners have different skills
- B. Can be easier to raise finance
- C. Business decisions affect all partners
- D. Financial information is kept private

▼ Mark scheme

C - Business decisions affect all partners

Analyse the impact on an entrepreneur of being a Little Movers franchisee.

▼ Mark scheme

Indicative content: The franchisee will have access to help and support from the franchisor. The business already has an established and successful brand (AO2). The franchisee will need to pay start-up and royalty fees to the franchisor (AO2). They will receive full training and bookings can be done via a centralised booking system. This support makes it easier than starting the business as a sole trader (AO3a). This leads to increase in costs for the franchisee who will have to pay the monthly fees for branding and lesson plans, even if they create their own lessons (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Outline one impact on the owners of Digital Allies from being a private limited company.

▼ **Mark scheme**

Award up to 2 marks for linked points outlining an impact on owners of Digital Allies. Award a maximum of 1 mark if points are not linked. They have limited liability (1). This will reduce the risk of the three-year expansion plan (1). They can sell shares to raise finance (1). This could allow them to purchase its new offices, rather than rent (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Explain one advantage of starting a business as a private limited company.

▼ **Mark scheme**

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. The owners would have limited liability (1). This means that any debts are the responsibility of the business (1). Therefore, the personal possessions of the owners will not have to be sold to pay the debts of the business (1). The business can sell shares to raise finance (1). This is good because the business may have extra funds for investment (1). This may lead to a reduction in the chance of business failure (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage of starting a business as a partnership.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There may be disagreements between partners (1). This means it can be difficult for decisions to be made (1). Therefore, the business will take longer to respond to the needs of customers (1). Decisions made by one partner can affect all partners (1). If this leads to financial loss, then all partners are liable for the debts (1). This may lead to partners losing the money that they invested in the business (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Explain one advantage of opening up a business as a franchise.

▼ **Mark scheme**

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. An entrepreneur could receive help and advice when starting the business (1). This would support the owner in making key business decisions (1). This would reduce the chance of business failure (1). The entrepreneur would have access to an established brand (1). This would make it easier to attract customers to the new business (1). Therefore, more likely to lead to a successful start (1). Accept any other appropriate advantage. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

1.4.2 Business location (5 questions)

Discuss what a small business owner should consider when deciding upon the location for their business.

▼ **Mark scheme**

Indicative content: Proximity to market (AO1b). The amount of competition in the area (AO1b). This increases the likelihood of being visible to potential customers so the business can attract more passing trade (AO3a). This might impact on the pricing strategy of the business as they may have to charge lower prices to be competitive (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Analyse the impact of the internet on the location of Sports Tours Ltd's premises.

▼ Mark scheme

Indicative content: The business does not require an expensive retail outlet. The majority of communications with sports teams can be done online (AO2). There is no need for modern office facilities to impress visiting customers (AO2). As a result, fixed costs will be reduced which will therefore lower the number of tours required to break even (AO3a). The majority of the sports teams will not be local to Sports Tours Ltd so will not be able to visit the premises in person (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from <http://www.littlemovers.net/our-classes>)

Outline one factor that may influence the location of a Little Movers franchise.

▼ Mark scheme

Award up to 2 marks for linked points outlining a suitable factor that would influence the location of a Little Movers franchise. Award a maximum of 1 mark if points are not linked. Little Movers would consider the proximity to the market (1). They will need to be located close to a number of families with pre-school children (1). Little Movers will have to consider the location of its other franchises (1). They offer a particular area for any new dance franchisees (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Explain one way the internet may affect where a small business chooses to locate.

▼ Mark scheme

Award 1 mark for identification of a way, plus 2 further marks for explaining this way up to a total of 3 marks. The business could choose a cheaper location (1). This is because the business can use e-commerce (1). As a result, the business may not require a physical retail location (1). The business will need to be in a location with good internet connections (1). This is because a business may need the internet to communicate with stakeholders (1). A location with a weak signal could cause barriers to communication for the business (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Outline one factor that could have influenced the location of PFC.

▼ Mark scheme

Award up to 2 marks for linked points outlining a factor that could have influenced the location of PFC. Award a maximum of 1 mark if points are not linked. The proximity to customers (1). PFC would have needed to be located in area where it could attract members to join the gym (1). The level of competition in the area (1). PFC may have chosen an area where there were no other gyms (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

1.4.3 The marketing mix (16 questions)

Explain one method a business could use to add value to its product.

▼ Mark scheme

Award 1 mark for identification of a method, plus 2 further marks for explaining how this method will add value, up to a total of 3 marks. One method is by having a unique selling point (USP) (1). This will help the product to stand out against competitors by having something they do not have (1). As a result customers will be willing to pay more for a product they see as more original (1). One method to add value is by having a distinct brand image (1). This will help the business to be easily recognised by customers (1). As a result, customers are more prepared to pay a higher price for a product as they recognise and trust the name (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but.....' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

Outline one method of promotion that would be appropriate for Meringue.

▼ Mark scheme

Award up to 2 marks for linked points outlining a suitable method of promotion for Meringue. Award a maximum of 1 mark if points are not linked. By offering free food samples to passers-by (1) potential customers can taste the high quality ingredients (1). Meringue can print a voucher offering a discount in a local newspaper (1) to encourage customers to come in on quieter days (1). Do not accept methods of promotion that would not be appropriate for a small town centre bakery and cafe such as Meringue, for example a national TV advertising campaign.

Neil and Sue are considering two options to reduce the amount they need to sell to break even. Option 1: Increasing average prices by 10%. Option 2: Reducing the cost of ingredients by using a cheaper supplier.

Justify which one of these two options Neil and Sue should choose.

▼ Mark scheme

Indicative content: Neil and Sue's competitive advantage comes from non-price factors, such as quality (AO2). Raising price may be risky as Meringue is located in the town centre, close to competing cafes (AO2). Non-price factors mean most customers will stay loyal despite price increases. This will mean that total revenue will increase despite the increase in price and therefore will reduce the amount they need to sell to break even (AO3a). Competition may result in a loss of customers as higher prices deter existing customers preferring cheaper alternatives (AO3a). The most appropriate option for Neil and Sue is to raise prices. The main feature of the business is 'quality' and anything that puts this at risk must be avoided. Lower-priced ingredients could impact on quality (AO3b). The break-even chart shows that the cost of ingredients is a very small proportion of total costs for Neil and Sue. This means that it will have a very small impact on their ability to break even. Therefore, an increase in price would be the most effective option to reduce the amount they have to sell (AO3b). Level 1 (1-3): Limited application... simple justification. Level 2 (4-6): Sound application... justification based on sound evaluation. Level 3 (7-9): Detailed application... clear justification based on a thorough evaluation.

Which two of the following are elements of the marketing mix?

- A. Payment
- B. Planning
- C. Price
- D. Product
- E. Profit

▼ **Mark scheme**

C - Price; D - Product (2)

Aphrodite case study (online clothing retailer using e-commerce since 2007).

Evaluate the impact of e-commerce on Aphrodite's marketing mix. You should use the information provided as well as your knowledge of business.

▼ **Mark scheme**

Indicative content: E-commerce will allow Aphrodite to sell its clothes to a wider market (AO1b). The clothes market is very competitive so using e-commerce may have a limited effect on sales (AO1b). The website has been operating since 2007 allowing customers from all over the world to buy clothes from Aphrodite (AO2). Many other clothes shops sell labels such as Stone Island and Hugo Boss. This will make it difficult to attract the attention of new customers (AO2). The full range of clothes, with all sizes, can be displayed on the website. If the website is well designed and the ordering/returns is easy for customers then sales should increase because new customers will be confident that the service they receive from the website matches the high service levels they would have received in person (AO3a). In order to attract new customers then the brothers may have to be price competitive. This would mean lowering their prices and reducing the profit margins on the clothes. Suppliers may not allow them to do this as cheaper prices can harm the image of a brand (AO3a). However, customers may be reluctant to purchase clothes using e-commerce because they are unable to try the clothes on to ensure they fit. Aphrodite sell expensive brands so customers may not want to spend large sums of money if they cannot check the fit and quality first (AO3b). However, many people live busy lives and not be able to go shopping as much as they would like. E-commerce would still lead to increased sales with existing customers as they would shop online. They trust the business and, as long as the website offers excellent service, they will appreciate the convenience it offers (AO3b). Level 1 (1-4 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Explain one way the marketing mix of a small business may change due to changing consumer needs.

▼ **Mark scheme**

Award 1 mark for identification of a way the marketing mix may change, plus 2 further marks for explaining this way up to a total of 3 marks. A small business may have to make changes to its product (1). This is because the lifestyle of consumers may require extra features on a product (1). Therefore, the design of the product may need to change to meet consumer needs (1). A small business may have to change its prices (1). Economic conditions may lead to consumers having less money (1). Therefore, the consumer will feel they are still getting value for money (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a small business of manufacturing a high quality product.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

High quality products may be more expensive to produce (1). This is because the cost of raw materials may be high (1). Therefore, the business may have to charge a premium price that some customers cannot afford (1).

High quality products may need specialised labour (1). Employees with these skills may be difficult to recruit (1). Therefore, the business may have to pay high training costs to develop the skills of its employees (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

In order to improve its brand awareness, That Feeling is considering two options: Option 1: increase its range of own brand clothing. Option 2: open a second shop.

Justify which one of these two options That Feeling should choose.

▼ Mark scheme

Indicative content: If That Feeling sells more branded clothes then more people will be wearing clothing with the barber shop's distinctive logo on (AO2). A second barber shop will allow the business to move into another geographical area and offer its service to a new range of customers. This will increase brand awareness to a whole new range of potential customers (AO2). As That Feeling is associated with famous footballers then people will start to recognise the brand of the business when they see it on the clothing. This will allow the business to grow using a wider range of products and improve brand awareness with young, fashionable customers wearing the clothing (AO3a). The first shop in Potters Bar has many unique features that can be replicated in a second shop. The first shop has been very successful so this indicates there is likely to be enough demand to open a second shop (AO3a). However, the core part of the business is the barber shop and this is where Justin's passion lies. By extending the amount of clothing then this will divert customer attention away from the barbering side of the business (AO3b). However, a key factor in the success of the first shop is the high quality of the barbers and the mentoring Justin carries out with his employees. This might be difficult to replicate in a second shop and the business may therefore lose its USP (AO3b). Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

Analyse the impact on Little Movers of having a strong brand.

▼ Mark scheme

Indicative content: A strong brand helps customers to identify with the business. It will help them to associate certain qualities with the brand such as the amount of fun their children have at the dance classes (AO2). Branding allows the business to add value to the pre-school dance classes (AO2). This will allow the business to create loyalty to the brand and generate repeat custom. This is important because Little Movers will want parents to bring their children throughout their pre-school years and not just try it once (AO3a). Adding value is important because it will allow the franchisee to charge a premium price. There is a lot of competition in this market and parents want the best for their children. If they have a perception of quality then they will pay more for the classes and birthday parties (AO3a). Levels: Level 0 No rewardable material. Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

*In order to help improve digital marketing for a local university, Digital Allies is considering two options:
Option 1: improve the design of the university website; Option 2: design a social media campaign to target new students.*

Justify which one of these two options Digital Allies should choose.

▼ Mark scheme

Indicative content: If Digital Allies improved the design of the website then it will give the university a more modern and contemporary feel that will appeal to new students (AO2). The target market of students is more likely to use and interact with social media on a regular/daily basis. This increases the likelihood that they could see the digital communication (AO2). The university website is likely to be the main source of information when students are making their choice on where to study. If the website is attractive then it will create a good impression. Students are more likely to select a degree course from that university as a result (AO3a). Young people now use a variety of different social media platforms which provides a range of opportunities for Digital Allies. The way in which some platforms such as Facebook and Twitter operate will allow communication to spread amongst users as they can see other profiles (AO3a). However, this relies on students visiting the website. If the students are not fully aware of the university through other means then they may never visit the website and see the new design. This could depend on how many students are from other geographical locations (AO3b). However, it depends on how long communication on social media is visible. If it does not stay visible for long and users may tend to pass over information very quickly. Information about courses at university could be too detailed to for this method of communication (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

State one element of the marketing mix, other than price, for Lili Heating Ltd.

▼ Mark scheme

Award 1 mark for stating one element of the marketing mix for Lili Heating Ltd. The place of distributing her services to customer homes in Birmingham (1). Promotion methods to attract female customers (1). Product is to repair/install boilers (1). To award 1 mark there must be evidence of application.

In order to make the business more successful, Lili Heating Ltd is considering two options: Option 1: offer a discounted price to female customers. Option 2: use social media to promote the business.

Justify which one of these two options Lili Heating Ltd should choose.

▼ **Mark scheme**

Indicative content: Offering discounted prices to female customers will help build on her unique selling point of being a female plumber (AO2). Using social media makes it much easier to communicate with customers when giving advice and clear prices for the plumbing work (AO2). Female customers often feel they cannot trust male plumbers when they give them prices to repair their houses. If Amelia offers a discount to female customers, it will make them aware that she is trying to help them overcome this problem (AO3a). This will help promote the quality of customer service Amelia can give to customers. As a result, customers can leave positive reviews on social media which will help her achieve her advertising objective of gaining customers through word-of-mouth recommendations (AO3a). However, Amelia may be alienating male customers. They will feel that Lili Heating Ltd is not being fair in only offering the discount to women. This could create bad publicity for Amelia and give the business a bad image with half the population in Birmingham (AO3b). However, there is a lot of competition in the Birmingham area so it will be difficult to get her social media promotion noticed. This could make it difficult to differentiate her service (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Evaluate the importance of price in Ripple's marketing mix. You should use the information provided as well as your knowledge of business.

▼ **Mark scheme**

Indicative content: Price is an important part of the marketing mix as it will be a major influence on how many customers choose to invest in the energy plans of Ripple (AO1b). Other parts of the marketing mix such as place, product and promotion may be more important than the price element (AO1b). The energy market is very competitive and is dominated by many large suppliers such as British Gas. Ripple's plan of investing in wind farms could lead to lower energy prices for customers (AO2). Many customers may be new to the green energy market and will only move from existing suppliers if Ripple can make customers aware of the business through effective promotion. (AO2). Households are using increasing amounts of energy which will lead to higher household bills for gas and electric. They will be attracted to the possibility of lower bills if Ripple's prices are lower than competitors. Energy bills form a large part of household expenditure so lower prices will be important to a lot of customers (AO3a). Ripple is a new business and is offering electricity via the USP of investing in a wind farm. Penetrating the market via effective promotion may be the most important part of the marketing mix as customers will need a lot of information. Choosing suitable promotion methods may therefore be more important than the price of energy (AO3a). However, the business model for Ripple is different from other energy suppliers. Investing in the wind farm may be confusing for customers. As a result, they may not buy electricity from Ripple despite its promise of lower prices (AO3b). However, Ripple has an objective of being an ethical business. Consumers are becoming increasingly ethical and are becoming more interested in environmental matters but are often reluctant to pay higher prices. Lower prices may therefore be the key influence in persuading customers to swap suppliers and achieve its non-financial aims (AO3b). Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Discuss the way a small business could use branding to add value.

▼ **Mark scheme**

Indicative content: Branding can help consumers to identify with a product and associate certain characteristics with that brand (AO1b). Branding can create customer loyalty meaning customers are more likely to repeat purchase a product (AO1b). If consumers identify with a certain brand there is an increased willingness to pay a higher price for the product (AO3a). Customer loyalty will still allow a business to charge a higher price despite higher levels of competition (AO3a). Level 1 (1-2): Demonstrates elements of knowledge with limited business terminology. Level 2 (3-4): Demonstrates mostly accurate knowledge with appropriate terminology in places. Level 3 (5-6): Demonstrates accurate knowledge throughout with appropriate use of business terminology and detailed interconnected points with logical chains of reasoning.

Analyse the advantage to Adikoggz from using social media to promote its products.

▼ **Mark scheme**

Indicative content: Using social media platforms such as Facebook and Instagram is a low cost way to show images of the trainers that have been customised (AO2). Social media will allow Keilan to engage with his customers and answer queries about deep cleaning prices (AO2). The trainers will be in the colours of football teams so the fans of these teams may share the images of the trainers on social media at no extra cost to Adikoggz (AO3a). This improves the level of customer service which Adikoggz offers and therefore promotes a positive brand image. Other social media users can see this which can lead to them also wanting their trainers cleaned (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

In order to increase the number of new members at PFC, the owner is considering two options: Option 1: reducing the price of membership. Option 2: providing an individual fitness plan for all new members.

Justify which one of these two options would have the bigger impact on new membership at PFC.

▼ **Mark scheme**

Indicative content: Reducing the price of gym membership from £39 per month may attract new members who would wish to pay a lower price to keep fit (AO2). Personalised fitness plans will add value to the membership and give new members more of an incentive to join and keep fit (AO2). A new gym has opened in the area with a much lower price of £19 per month. There are also a wide range of other ways to keep fit which cost a lot less than what PFC charges. If PFC cuts its price, then customers may feel the membership offers much better value for money (AO3a). The level of membership is relatively low at PFC so giving individual plans is possible. They can also be tailored to individual members and may help to attract people aged over 50 because they feel the gym is more suited to their needs (AO3a). However, the price of the competition is much lower and is offered by a large national chain that may have a lower cost per member. PFC will find it difficult to compete on price so should consider other ways to compete such as on quality (AO3b). However, this may take up a lot of time for the owner. They may also have to put on additional fitness classes to suit the different needs of the members. As these are included in the price of the membership then this would lead to an increase in costs (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application, clear justification based on thorough evaluation.

1.4.4 Business plans (5 questions)

Explain one reason why an entrepreneur would produce a business plan.

▼ **Mark scheme**

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason, up to a total of 3 marks. To provide information for the bank when applying for a loan (1). The bank will be able to see important information about how the business will operate (1), and can therefore make a judgement about the ability of the business to repay the loan (1). To enable the entrepreneur to collect information about the business to plan ahead (1). Projections of sales and costs help the entrepreneur to make decisions about buying stock (1) so that the business can meet customer needs (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Explain one reason why it is important to include financial information in a business plan.

▼ **Mark scheme**

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. This will help minimise risk (1). Financial information such as a cash flow forecast can help identify potential problems (1). This will allow the business to plan for these problems in advance (1). The financial information can help the business to obtain finance (1), because the figures can be reviewed by a bank (1). Therefore, the bank can then make a judgement whether the business can repay the loan or not (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Outline one way that a business plan could have helped Joe Thwaites when starting Loco.

▼ **Mark scheme**

Award up to 2 marks for linked points outlining one-way Joe Thwaites could have used a business plan. Award a maximum of 1 mark if points are not linked. Joe could have used a business plan to set the aims and objectives for Loco (1). This would have helped to create USPs (unique selling points) for the SUPs that helped the business be competitive against larger manufacturers (1). Joe could have used a business plan to forecast the financial information for Loco (1). This would have helped to judge if the costs of travelling to Fuerteventura could be afforded (1). Do not accept ways that would not be appropriate for Loco. For example, to obtain finance for the expansion of the business.

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

Outline one way that financial information in a business plan could help Lili Heating Ltd.

▼ **Mark scheme**

Award up to 2 marks for linked points outlining a way financial information in a business plan could help forecast success. Award a maximum of 1 mark if points are not linked. The business plan could contain a cash-flow forecast for Lili Heating Ltd (1). This would help ensure there was always enough cash to pay for plumbing supplies (1). A break even forecast could be included in the business plan (1). This would set a target of how many female customers were needed to start making a profit (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Outline one benefit to Keilan from producing a business plan for Adikoggz.

▼ **Mark scheme**

Award up to 2 marks for linked points outlining a benefit from producing a business plan. Award a maximum of 1 mark if points are not linked. It allows Keilan to think through each step before starting the business (1). Therefore, he can make plans if the business does not get enough customers who want customised trainers (1). The business plan can provide information for external parties (1). It may help get trade credit from suppliers of trainers (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.